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Navigating sales tax for SaaS



Disclaimer: All figures are estimates and are based on information provided by the respective jurisdiction's website. Anrok and its personnel are not tax advisors or accountants and are not providing any tax advice or legal guidance.

- Why do software companies need to worry about sales tax now?
- When should startups tackle sales tax?
- What strategies are there for quantifying impact and understanding exposure?

INTRO

About Michelle



Michelle Valentine
CEO & Co-founder











INTRO

About Anrok



Backed by SEQUOIA Index Ventures

Seen in Forbes TechCrunch

Chosen for

- Accuracy for SaaS
- End-to-end automation
- Customer experience



Why do software companies need to worry about sales tax now?

When should startups tackle sales tax?

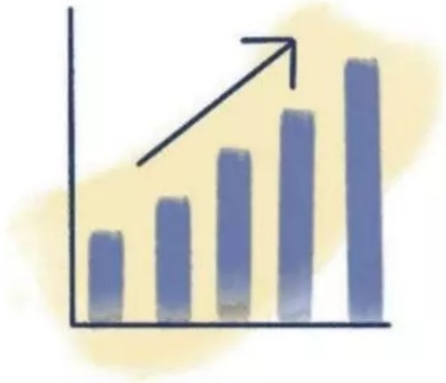
What strategies are there for quantifying impact and understanding exposure?


MR AND MRS
VS

Since the 2018 **South Dakota v. Wayfair** Supreme Court case, SaaS companies have to collect and remit sales tax based on **physical and economic presence**.

NEXUS

Nexus determines a company’s obligation to collect sales tax



Economic nexus

Based on Sales and / or transactions



Physical nexus

Based on where the company has offices or remote employees

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NEXUS

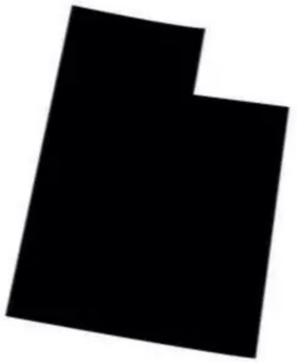
Economic nexus threshold examples



New York
$500k in sales AND
100 transactions



Pennsylvania
$100k in sales



Utah
$100k in sales OR
100 transactions

Why do software companies need to worry about sales tax now?



When should startups tackle sales tax?

What strategies are there for quantifying impact and understanding exposure?

It depends.

What is your exposure?
What is your risk tolerance?



UNDERSTAND YOUR RISK

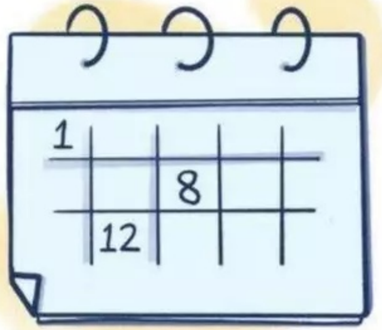
The costs of non-compliance are high



Audit risk



Revenue impact



Hiring implications

Why do software companies need to worry about sales tax now?

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What strategies are there for quantifying impact and understanding exposure?

IMPACT ON PROFITABILITY

Average annual revenue drag weighted by State GDP

Select states	CA	NY	TX	PA	TN	WA	Other	All
Effective non-compliance rate[1]	-	11.3%	7.4%	10.5%	12.4%	8.7%	8.3%	8.8%
Weighted revenue drag[2]	**-**	**0.9%**	**0.6%**	**0.4%**	**0.2%**	**0.3%**	**1.9%**	**4.3%**

Not charging sales tax may result in ~4.3% drag on profitability and material cash outflows upon achieving sales tax compliance



[1] Effective non-compliance rate = Typical sales tax rate * (1 + penalty rate) * (1 + late payment interest rate)

[2] Weighted revenue drag = Effective non-compliance rate * state share of GDP. This is one framework to understand the implications of the non-compliance rate on revenue, assuming your sales across the US roughly reflects state share of GDP

Why do software companies need to worry about sales tax now?

Economic nexus and the rise of remote

When should startups tackle sales tax?

Compliance risks and how sales tax directly impacts bottom line

What strategies are there for quantifying impact and understanding exposure

Back of the envelope estimates and taking action with a nexus survey

The path to compliance

THE JOURNEY WITH ANROK

The Path Forward

Nexus survey and exposure analysis

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Registration

↓

Calculation

↓

Returns

↓

Remittance









The Anrok Approach

Real time nexus monitoring and exposure calculations

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Guided registration process

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Calculations across your tech stack

↓

Auto file returns

↓

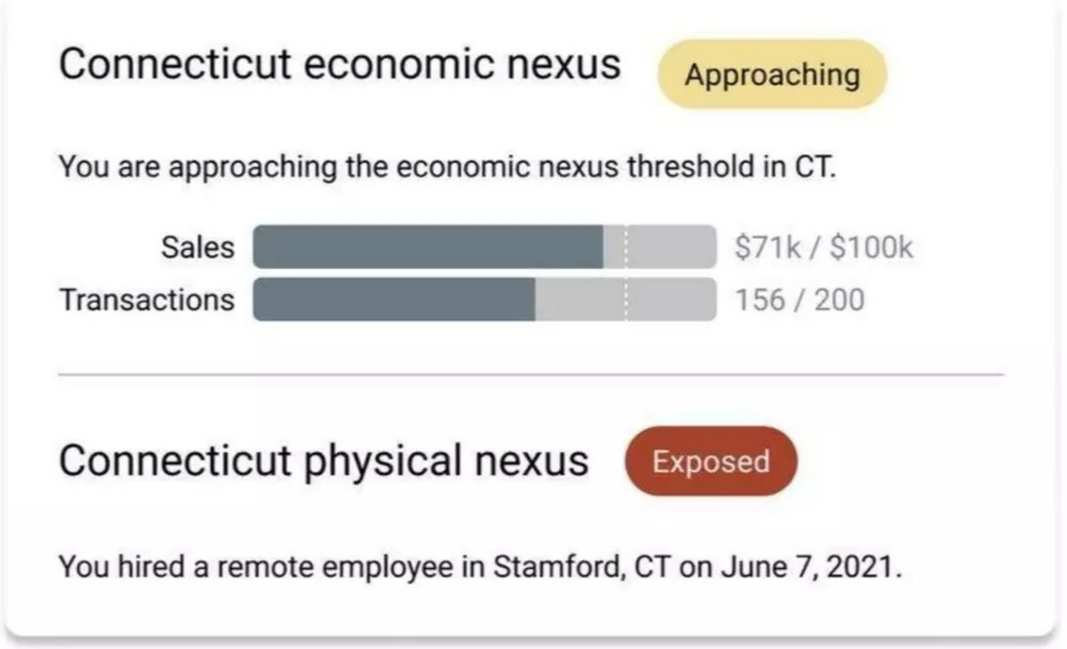
Auto pay

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WHY ANROK

Accuracy starts with comprehensive monitoring

- The only solution that tracks both **economic and physicalnexus**
- Measure against relevant **State and local jurisdiction-specific** nexus thresholds
- **Configure tax collection method**

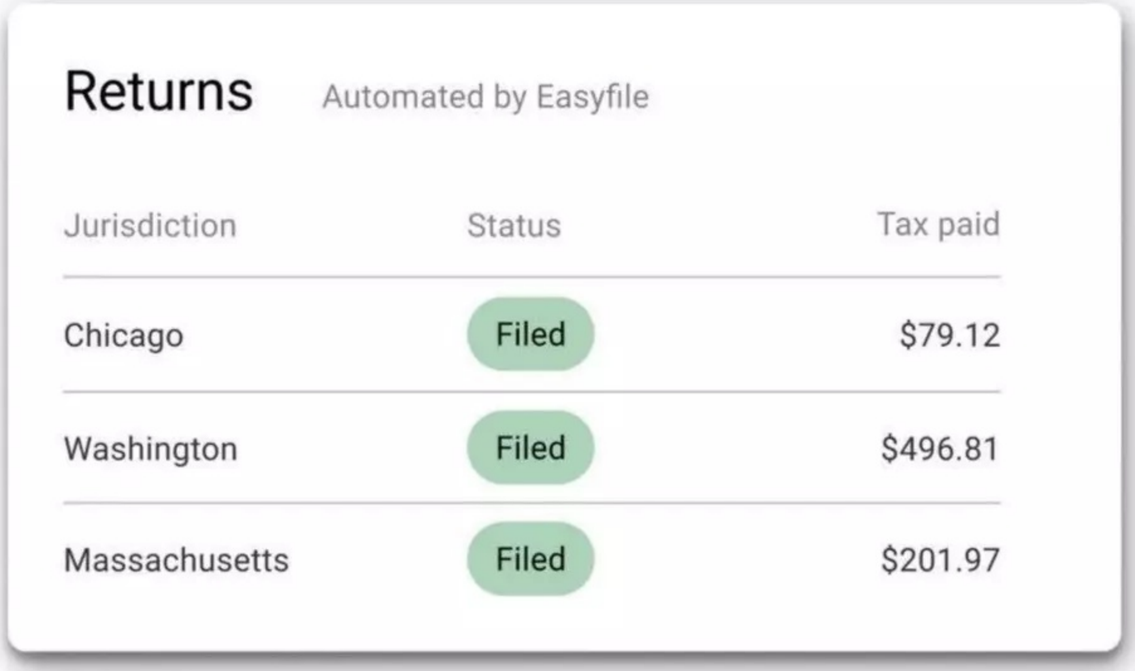


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WHY ANROK

Automate tax plus the details

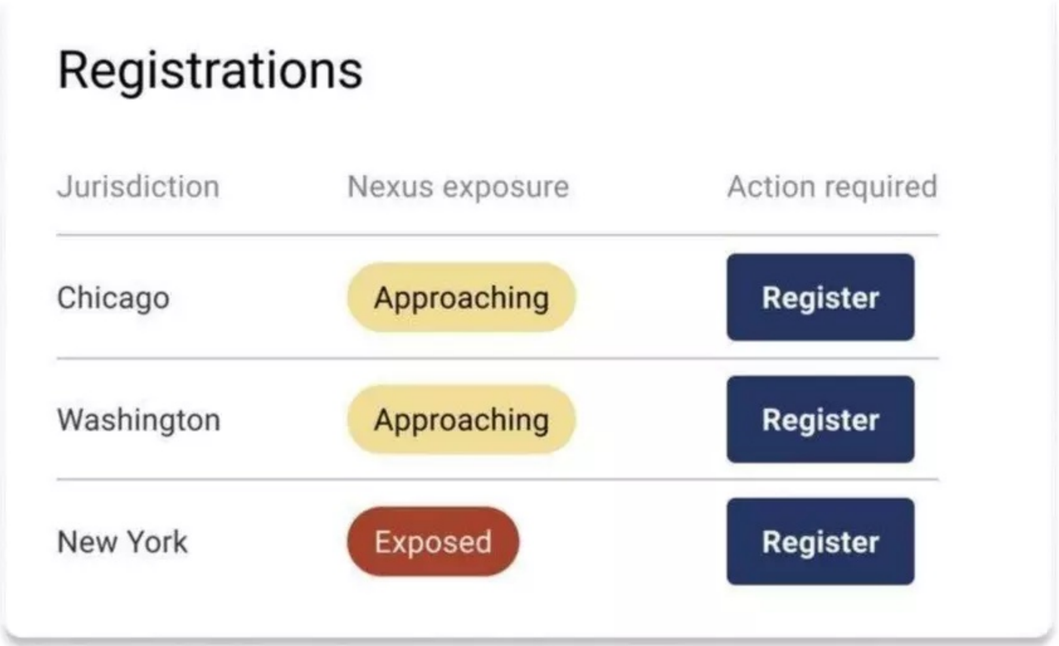
- Automate tax calculation across your finance stack
- Rest easy with alerts for nexus exposure or filing frequency changes
- Automate exemption certificate tracking
- Automate pre-payments and filing



WHY ANROK

A product and team that understands your business

- From registration to remittance, you'll have **support every step of the way**
- Features built with SaaS in mind, so you can always see things like the **lifecycle of a transaction**
- A team that have **experienced and solved the pain points** firsthand at SaaS companies



Any questions?

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